

XI

Beyond the Economic Revolution

The voice belonged to Joseph Schumpeter.

No one ever knew quite what to make of this small, dark, aristocratic man with a taste for dramatic prose and theatrical gestures. Typically he said of himself later in life that he had always had three wishes: to be a great lover, a great horseman, a great economist. Two of these three wishes, he maintained, had been granted to him.

Everyone agreed that he was brilliant—and perplexing. His students at Harvard complained that he was never predictable, and they were entirely right. At the tender age of twenty-seven—his teacher said of him that he was never a beginner—Schumpeter had set the economic world on its ear with a truly path-breaking exposition of the process of economic growth and at thirty he had added another feather to his cap with a superb history of economic doctrines. But the students who attended his classes in the late 1930's were regularly shocked to hear this expositor of capitalist growth declare, with obvious enjoyment, that depressions, far from being unmitigated social evils, were actually in the nature of “a good cold douche” for the economic system!

His fame increased with the years—and so did his perplexingness. His earlier books were followed by a monumental work on business cycles and then in 1942—a few

years before his death—by one of the most provocative books ever written on the future of capitalism: *Capitalism, Socialism, and Democracy*. But his students still had to reconcile the fact that he was the most “hopeless” of conservatives and at the same time an admirer of Marxist economics; a sarcastic critic of the critics of capitalism, and yet its severest critic himself; a scoffer at those who fussed over every sign of trouble in the economy, and himself a diagnostician of its failing health.

What was most vexing of all was this: Schumpeter had written engagingly on what he called “plausible capitalism”—a capitalism which could achieve Keynes’s goal of universal sufficiency. He agreed with his economic brethren that there was no purely economic reason why the system should not have another successful run. He neither punctured the arguments for the defense of capitalism nor raised new economic issues overlooked by the critics. He even went so far as to predict that the system would endure for another fifty or a hundred years.

And yet, in his point-blank fashion, he wrote this final appraisal of the future: “Can capitalism survive? No. I do not think it can.”

Had sentiment alone moved his pen, it would never have written such a sentence. Schumpeter was the most romantic of economists, and capitalism to his eyes had all the glamour and excitement of a knightly jousting tourney. But that was just the trouble. The jousting tourney required a properly stirring setting, and in the humdrum, matter-of-fact, businesslike atmosphere which business itself was fostering, the old pioneering capitalist spirit could never survive.

For capitalism, to Schumpeter’s mind, could maintain its forward momentum only as long as capitalists behaved like knights—or at least pioneers. Not all of them, of course: for every daring entrepreneur, there was bound to be a whole flock of timid followers. But the driving impetus for the system came from men of courage, men who risked their fortunes to implement new ideas, who dared to innovate, to experiment, to expand.

And that type was on the wane. Worse, it was being e-

stroved by its own civilization. Daring as the capitalist was' his civilization was pre-eminently built on a rational, inquiring, skeptical attitude. Originally that rationalism had destroyed the pretensions of kings and lords But now it turned its cold and disconcerting gaze on itself. Money isn't everything," said the intellectuals, and in so doing they sowed a seed of doubt about the values of money-making as an end in itself. "Private property is no more sacred than the divine right of kings/ said the intellectuals, and in so doing they exposed the basis of privilege in a business society to be no more necessary or inviolable than that of privilege in a feudal society. The romantic ideals, the sacrosanct ideology of business were thus held up to the harsh light of rationality, and the result was that the values of the business way of life lost their attractive glow. You cannot hold a jousting tourney if the audience thinks the whole performance is slightly ridiculous: even the most ardent of knights will lose his zest if no one applauds his success.

But capitalism was not only falling from an attack by its intellectuals; it was decaying from the inside as well. The once daring, independent, perhaps unscrupulous, but always energetic knight of business was being replaced by a very unknightly figure in a lackluster costume. The new lords of business were "managers," depersonalized experts, private bureaucrats. That was the real impact of big business—not its supposed menace to competition. Big business meant conservative business—not necessarily in policies or social ideas, but in economic daring. For as the capitalist metamorphosed into the manager, he ceased to care about capitalism as such: he settled for his large steady income and the security of his position in society and forgot about the days of risk and the quest for boundless wealth.

And so, in the end, capitalism would become old-fashioned. It would no longer be a meaningful word, an idea that could move men to action or rally supporters in a time of crisis. In time it would disappear before the oncoming march of socialism and its disappearance would

be marked by neither a bang nor a whimper. Capitalism would fade away with a resigned shrug of the shoulders.

What a peculiar thesis this is!

It can neither be proved nor disproved, for note this fact: it has nothing to do with the laws of economics. Whether there are laws of social development, of ideological evolution, we do not know, and in any event, if Schumpeter's estimate of the vitality left in the system is correct, it will only be our children or our grandchildren who will be in a position to appraise the accuracy of his diagnosis.

But right or wrong, Schumpeter's ideas are interesting to us for another reason. For here is the first of the great economists who has carried his economic analysis of capitalism to its final optimistic conclusion, and then, disregarding the outcome of his economic thinking, has pronounced doom on the system for a noneconomic reason. For the first time, an economist has said that economic development by itself did not ultimately determine the history-making process by which the fate of capitalism would be settled. If Schumpeter was right, a whole chapter of economic history was coming to a close.

As we have followed that chapter down the short but furiously active avenue which began two hundred years ago, we were struck by the diversity of the worlds into which the economists molded the actual world itself. But behind this diversity was a common thread, a thread of continuity which we should now stop to recognize. It was this: If one could divine the nature of the economic forces in the world, one could foretell the future.

It was not that politics or ideas were thought to be unimportant or that the economists did not see that at every juncture in history the power of the sword and the pen played a role of crucial importance. It was that the power of the purse was even more important. Kings might fight parliaments and parliaments might fight wars; presidents might do wise things and foolish ones, but all the while, the economic body of society was playing out its incre

ably complicated game of self-aggrandizement, and according to how that game went, so went the future.

And in the largest sense, so it did. Before capitalism came into being wealth followed power, and power was an adjunct of military or ecclesiastical or political prestige. In such a world, the future depended upon the decisions—even the whims—of a few men, and history was very nearly equated with adventure.

But after the economic revolution the old order changed. Now power followed wealth, and wealth accrued to the winners of the game of the market place. Hence when the economists sought to predict what would happen when many men, each seeking to enlarge his worldly scope, collided in the market place, they were in fact predicting the broad future of society. Individuals would still rise above the mass to impose their will on others, but for society as a whole, it was the process of money-making which gave it its élan, its movement, and its direction. Business cycles were not the decree of any man, but the upshot of the market; riches and poverty depended on no monarch's pleasure, but rose, fluctuated, and disappeared as the market ruled. To a greater extent than ever before, history became an automatic process, and the mold of the future was cast by an anonymous, predictable, gamelike struggle.

The predictions varied, for they placed different stress on different aspects of the game. Adam Smith saw the accumulation of capital as the decisive feature of the market world, whereas Malthus and Ricardo picked out the counterforce of population growth. Marx emphasized the struggle between worker and capitalist, Veblen the struggle between technicians and financier, and Hobson pointed to the need of huge masses of capital for overseas markets.

No single economic thread extended over the whole world of capitalist society. But each thread did for a while provide the motif of the future. Society threatened an inundation of population it did grow it did witness a class struggle, a contest between finance and production, an imperialist thrust. Indeed, if the world was

and the Utopians failed to make a significant contribution to an understanding of their futures, it was because they failed to see the imperiousness of the economic forces at work.

But all the while that society was engaging in its single-purposed economic game, another conflicting motive was at work. Capitalism, do not forget, is the only society in human history in which neither tradition nor conscious direction supervises the total effort of the community; it is the only society in which the future, the needs for tomorrow, are entirely left to an automatic system. Scant wonder then that no sooner had the boat been set adrift than the passengers began to worry. A ship without a captain might work very well—at least so the designers promised—but suppose it did not? Suppose, for example, that its social results were not so pleasing as its economic ones—or suppose the economic ones were not so pleasing to some as to others? Then what?

At first, nothing. Adam Smith could afford to scoff at those who hoped to improve society by “doing good,” since he firmly believed that welfare was best achieved as a by-product of economic action. To Malthus and Ricardo, the notion that motives other than economic should be allowed to intrude into, perhaps to upset, the market mechanism would have been a willful perversion of a demonstrably proper way of life.

The change began with John Stuart Mill and the Utopians. When Mill pointed out that economics had no ultimate solution to the problem of distribution, that society might do with the fruits of its toil as it saw fit, he introduced into the mechanical calculus of the market a conflicting calculus of moral judgment.

It was not moral judgment only in the laudatory sense. It was moral as opposed to mechanical; it was the assertion of independent conscious decision about the ends we desired from the economic process, as opposed to a passive acquiescence in the ends which emerged when we did nothing. The ends we desired might well be less sensible than the ends which evolved from the unimpeded action of the market—but that, of course, depended on

whether the person who adjudged a change as being sensible" was a gainer or a loser from its effect.

But once set in motion, the process of interfering with the market process did not stop. The natural outcome of the social struggle was thwarted, channeled, encouraged, and dammed at every turning—one reason, for example, that Marx's inexorable predictions never quite materialized was that we interceded in the game whenever it appeared it might otherwise proceed to a final checkmate. We curbed monopolies, we encouraged labor unions, we regulated competition, we intervened in the business cycle, we did a thousand and one things to make the economic game yield the results we wanted of it—not the result it would naturally bring.

It is not that economic motives are dead: far from it. Despite our oligopolistic trends, if the principle of "buy cheap and sell dear" did not still organize our otherwise undirected economy, we should face chaos on the market place tomorrow. If the drive to amass wealth did not still impel people to shift from job to job, to change the direction of their business efforts, to expand or contract their business operations, we should have a sluggish, inert, changeless economy instead of an active, fluid, and dynamic one. The economic motive is still present and still vitally important.

And therefore society still displays purely economic trends. Indeed, the forecasts of the modern economists are nothing but the projections of the consequences of the purely economic characteristics of our market society. But society no longer obeys its economic impulse alone. The very fact that the trends and problems of the last chapter are inconclusive is evidence that there is more at work than impersonal, mechanical forces. The questions which face us in the future are not the purely economic ones of whether corporations will naturally grow larger or whether we will suffer from unemployment, but the moral ones of whether we will let corporations grow unchecked and whether we will allow unemployment to develop unchecked. Government planning, public investment, anti-

monopoly policy-these are the tools of the antieconomic, moral impulse.

To the extent that this is true, to the extent that we no longer let the game of economics proceed unhindered to its natural outcome, we are going beyond the economic revolution. After two centuries of sailing almost as the winds directed us, the tiller of society is again in our grasp. More and more we have taken on our own shoulders the responsibility for selecting our destination-with all the inescapable dangers as well as the chances for progress that active navigation must bring. We are leaving behind us a world in which our futures were shaped, at least in the large, by the pressures of economic action; we are proceeding into a world where economic forces will play an important but no longer a predominant role.

What new factors will come to bear on us in that future we do not entirely know. We are by no means a fully controlled economy and so we can count with certainty on many of the old economic problems—booms and busts, the struggle between monopoly and competition, the endless squabble over the division of the economic cake. The problems may be muted in the new environment, but they will be there to contend with. Perhaps we shall face such subtle problems as those raised by Joseph Schumpeter—a slow but penetrating change in the atmosphere of capitalism and in its attitudes toward private property. Such possibilities must be reckoned with, but they are beyond the scope of our foreknowledge.

But two great issues we shall surely face and their importance for our survival as a free economy will be more important than all the old economic pressures or any of the new ideological ones.

First, we must face the political problem of isolation.

For there is a disturbing fact which we must take into account: most of mankind has never had, does not now have, and in all probability will never have any contact with* capitalism whatsoever. Capitalism is not the dominant system of organizing mans economic activities; on

the contrary—if we judge by nose-counting—it is something of a rarity, and almost an antique rarity at that.

The whole turbulent drama which we have followed in these pages has been confined to a fraction of the earth's surface, and during all these two hundred years, to countless millions of Chinese, Indians, Arabs, Africans, or South American peons the notion of a fluid and dynamic economy in which new products appeared and disappeared, in which a great chain of transactions bound together man and man, has never been anything but a tangential curiosity—strange, rude, disturbing, and often exploitative.

That is still true today. But whereas a century ago one might have guessed that the precapitalist world would develop into capitalism, today for a billion people, at least, that is a vanished hope. Perhaps four human beings out of ten live under regimes which have turned their backs on capitalism, and even if those regimes fail and fall, it is doubtful in the extreme whether their subjects will turn to a system which they have been taught to believe is harsh, cruel, and wicked.

Even in those areas of the world—like part of South America—where the development into capitalism is still possible, it is very unlikely that the end product will much resemble the kind of world we know. When we see the strange anachronisms of skyscrapers and peons plowing with a wooden stick, airplanes and oxcarts that give to Latin America its picturesqueness, we are perhaps reminded of seventeenth-century England, with its half-formed market economy. But there is a difference—a vital difference. In the seventeenth century, England led the world; in the twentieth century, the precapitalist countries are furiously struggling to catch up with it.

And this long and arduous process of catching up cannot be thought of solely in economic terms. For economic development—the long, steady rise in output and living standards—will not take place without social and political change. And it is here that we find the most difficult and dangerous problems of the backward nations.

For it is not easy to remake the social and political fabric of a nation just emerging from a tradition-bound

past. An uncomprehending peasantry must be converted into a modern farming population; a ragged corps of casual laborers must be made over into a disciplined work force; bazaar-minded traders must become production-minded entrepreneurs; nepotistic and corrupt state bureaucracies must change into reliable civil servants. Until these changes begin, economic development will wait. But to put these into effect is, in fact, to overthrow a whole way of life—and very often, to overthrow a government and a social order wedded to that way of life.

Hence the process of economic and social and political change tends to be a long-drawn-out and turbulent affair. If it could be done quickly, that would be one thing. But, unfortunately, this is not the prospect that the logistics of development offer. It is a painfully slow task for nations that are barely staying alive to accumulate the capital goods by which the great escape from poverty can be made. It takes years for a nation which is still striving to achieve widespread literacy to acquire the pool of skills and knowledge which is a requisite for economic growth. Nothing can be done overnight to relieve the dependence of many poor nations on the single crop they export to the unpredictable markets of the world. And meanwhile, to lengthen the timetable still more, a torrent of population growth washes away the small gains in production under a deluge of births—Malthus' specter come to life.

The situation is not that black in every underdeveloped nation. There is a spectrum of conditions (and hopes) for the backward lands at least as great as or greater than that among the industrially advanced nations. But in general the implication is plain. Economic development is not a smooth evolutionary process. It tends, on the contrary, to be a disruptive revolutionary process. It is not a healing and annealing climb, but a fearful ascent, in which old and stagnant regimes perish, and new—and very likely, ruthless—regimes achieve power. It is not a time of general contentment, but a time of wild aspirations and equally black despairs, of fierce resentments, of terrible sacrifices—imposed as well as freely borne.

In a word, economic development does not hold out the

easy hope that it will encourage the rise of democratically orientated, economically free societies. More likely is the prospect of authoritarian politics, strong-man governments mild or not-so-mild dictatorships, combined with authoritarian economics, strong-arm economic measures, mild or not-so-mild collectivisms.

Thus in the great contest among economic systems in the underdeveloped areas, capitalism does not enjoy a favored position—at least not in many nations. Indeed a realistic appraisal of the obstacles and possibilities leads us to the unwelcome conclusion that communism may well be the direction—although not necessarily the final destination—toward which these countries swing.

For regardless of the ulterior quality of its motives or the perversion of its purposes, communism does have one article in its export kit which we do not: a technique for vastly accelerating the rate of growth of the impoverished nations of the world. This technique is collectivism—often an iron collectivism which finds its most stark expression in the barrack-communes of the Chinese. What collectivism does—and very likely does more effectively than a free or “mixed” economy—is to mobilize the resources, material and human, of an underdeveloped economy, and to direct them with massive impact upon the problem of building the capital needed for sustained growth.

From our point of view, the cost of this collectivism is fearfully high. Not only does it often dispense summarily with the political liberties which are the treasured and delicate achievement of the West, but it deliberately denies the economic freedom which is no less a hard-won and precious Western achievement. Collectivism does not await the slow, often wasteful, growth-producing ways of the market. It simply puts men where they are needed, whether their acquisitive impulses would put them there or not. It is the method of the stick rather than the carrot “the method of ruthless force rather than voluntary choice.

Such a system is naturally repugnant to Western eyes, yet it need not be so to many Eastern and Southern eyes, where the harsh discipline of collectivism is much less notice-

able at the margin of existence where life is already horribly disciplined. The loss of liberty is hardly a loss to men who have never known liberty. Such a method of achieving growth would be unsupportable for people who have already benefited from a long history of past growth. But to a people who now exist in conditions of misery and despair, it may offer the only means of escaping rapidly from the insupportable present into a better future.

In this contest of economic systems, it matters not whether our aims are ultimately more noble, more humanitarian, or more virtuous than the Communists'. Because we cannot easily encourage a revolutionary collectivism, we are very apt to appear in the eyes of a sweated Bolivian miner or a debt-ridden Brazilian tenant farmer as defenders of reaction, while the Russians play the role of Robin Hood. It is neither realistic nor necessarily advisable that we should attempt to steal the Communists' thunder. But this leaves us with the immeasurably more difficult and subtle task of persuading the world's dispossessed that we are just as concerned with their lot, just as eager to aid reform as the Russians—although our means and slogans are less dramatic and our promises less tinged with paradise than theirs. Perhaps it leaves us with the prior job of convincing ourselves that this is indeed the case.

Thus the great external problem facing capitalism is not economic at all. It is the political problem of establishing itself as the arsenal, not only of production, but also of hope and meaningful freedom to the anonymous hundreds of millions who may otherwise distrust us, fear us, and—if the awful day should ever come—take arms against us.

That is the external problem.

There is an internal one, too. For as we depart, little by little, from a philosophy of laissez faire and espouse a philosophy of active guidance, the question of social responsibility is inescapably thrust upon us. As long as the game of economics was played without fear of its consequences, indeed, in glad acceptance of them, the mat

ter of responsibility lay in the background. It was not the business of business to worry about its social obligations, nor the concern of trade-unions to fret over the repercussions of their acts. Responsibility was purely a matter for the government; it was political rather than economic.

In the future that area of responsibility must vastly broaden. As long as our fate lay in the hands of an impersonal process, who could be called to task for whatever unpleasant consequences matured? But as our future becomes increasingly the object of our own selection, it is no longer possible to avoid the question of the kind of future we want. Do we want a more equal distribution of income or a less equal distribution? Do we want big business or little business? Do we want free labor unions or circumscribed labor unions? Do we want inflation or deflation? All these choices—and many others—lie within our own control.

Curiously the more successful our economic mechanism, the more pressing become these political—and moral—problems. Growth, as Professor Galbraith has pointed out, brings us more and more out of the old environment of want into a new environment of plenty, and in this increasingly affluent atmosphere the time-honored rationale which sanctified profit-oriented production begins to lose its self-evident purpose. There was a time when every act of production, by adding a needed bit to the skimpy pile of social wealth, justified itself without further question. But as our streets become clogged with traffic, as our refrigerators bulge with food and our closets with clothes, more and more of society's production takes on a "luxury*ah*—pleasant, but hardly comparable to the production of roads when there were no roads, of food when we were still hungry, of clothes when many people still wore rags. Worse, as we go on heaping up the items of a richer and richer life, those goods and services which fail to cater to the market demand of an affluent society lag behind. Our schools, our slums, our health, our recreational space, our cultural activities get short-changed; our "social balance* gets badly tipped. As Galbraith writes in *The Affluent Society*, The family which takes its mauve and cerise, air-

conditioned, power-steered and power-braked automobile out for a tour passes through cities that are badly paved made hideous by litter, blighted buildings, billboards and posts for wires that should long since have been put underground. They pass on into a countryside that has been rendered invisible by commercial art. . . . They picnic on exquisitely packaged food from a portable icebox by a polluted stream and go on to spend the night at a park which is a menace to public health and morals. Just before dozing off on an air mattress, beneath a nylon tent, amid the stench of decaying refuse, they may reflect vaguely on the curious unevenness of their blessings. Is this, indeed, the American genius?"

Affluence, and its uses and misuses, are not problems which government alone can resolve. Rather, they make vivid and inescapable the fact that the political supervision over the economic process becomes more and more a problem for the entire electorate. The more we desire to intervene into the automatic working of the market system, the more profoundly we wish to reshape the economic complexion of society, the more does the electorate itself become its own guardian, its own counselor for good and evil, the director of its own destiny. A government may impose its will on a monopoly, on a credit splurge, on a gold crisis. But only a whole people can vote a change in the texture and social balance of its basic economic efforts.

And hence, curiously, economics takes on a new significance in a world in which "pure" economic society is on the wane. "Men cannot live without an economic theology," Galbraith wrote in 1952, and never was that truer than when men must themselves determine the course of their own society and elect what destination they wish to steer it toward. In the past, when economics was only an aggregative, mass process, the great economists could stand aside from the flow of events and shed their light on history purely as commentators, as analysts, or as disinterested prophets. In the present, as economics becomes entangled in the political decision-making process, that aloofness is no longer justified. There is no longer only

one possible conclusion for the economic drama but many, and the economists must not only describe for us the course on which we are sailing but point out other courses, other destinations to which we may, if we wish, direct ourselves.

This is not to say, alas, that one finds economists in general today keenly aware of the historic responsibilities and implications of their task. The trend of economic thought in our time is not toward the "magnificent dynamics" of the future, but turns aside from such speculative social forecasting to a consideration of more "scientific" matters. Many economists build "models" which reveal very skillfully the relationships of an economy in growth, or concern themselves with complex quasi-engineering problems of labor inputs and commodity outputs. These are very useful studies, but they do not open our eyes to the full meaning of the economic futures they project. For in these edifices of theory there is usually left unexamined the question of how economic growth will affect social change, or of the relevance of purely quantitative considerations to a system which produces not only goods but attitudes, morale, morality.

Perhaps this prevalent disinterest in the long-run evolutionary portents of capitalism is merely the tacit expression of a quiet confidence that capitalism is here, if not forever and ever, at least for a good long stretch. Perhaps it is evidence of an unwillingness to peer too closely into the dangerous possibilities of a time of great historic stress.

But if the temper of most contemporary economists tends to be unadventurous and academic, there is no lack of prophecy and persuasion to which we can turn. Only they are not new voices. They go back—all of them—to the arguments and architecture of the great economists themselves.

Thus at the extreme left stand the Marxists, whose prediction of the ultimate undoing of our system is little changed from the days of Karl Marx himself. Their prophecy we know; their persuasion is that we should line up on the side of history, as they see it. It is not a blueprint

of the future which the Marxists try to sell us, but a sense of historical participation, of joining the winning team, of riding the “wave of the future.” If Russia or China were not there as an object lesson in applied Marxism, their urgings might be a more formidable competitor for our belief. As things now stand, the rigors which are the price of rapid collectivist growth have an appeal only to the most miserable peoples in the world—those who have never known anything but a beggar’s lot. Perhaps our task is to understand with genuine compassion the hard choice that history has enjoined on the poor—and to attempt in every way to facilitate their escape from poverty.

To the right of the Marxists are the Socialists. Many of them are Marxian in their prognosis of capitalism’s end, but they are not Marxian in their prediction of things to come. The Marxists extol the inevitability of history; the Socialists extol the idea of liberty inherent in social change. The Marxists are not so much interested in What Comes Next—but this is the very heart and essence of the socialist persuaders. Whether the society of the future is to be centralized or built on old-fashioned guilds; whether it is to be entirely planned, or only partially so; the extent to which the consumer should have a voice, and the extent to which the producer should be heard—these are the burning questions of socialism—but not of communism. While the Marxists hold out the prospect of blindly and trustingly enlisting oneself with the inexorable process of history, the Socialists ask us to join them in shaping history as they wish it.

Next on the spectrum of prophecy and persuasion are the advocates of managed capitalism. Unlike the Socialists they do not believe that capitalism must disappear, and unlike the Socialists they do not want to displace the institution of private ownership with public ownership. Their central philosophy is something else again: they feel that capitalism can be maintained sufficiently to make it viable. Left to itself, they say, capitalism may run off the rails—if not its economic rails, then its moral rails. Given a strong policy erf glance it can continue to prosper. Hence we are asked to ensure

shaping his-

if we intervene

our futures with a strong pillar of government investment with active enforcement of antimonopoly laws, with the encouragement of public activity as well as private. This road to the future lies in making capitalism work—rather than in relying on its inner stability.

Not so say the next group of public counselors, the protagonists of the Right-of-Center. Capitalism can work only in an atmosphere of hands-off. While liberal aims may be commendable, the liberal means are incompatible with the essence of a market economy itself. Let the system alone and it will fare well; try to patch it up and you will only succeed in hopelessly paralyzing it. .

It is some such spectrum of prophecy and persuasion that we face.

As we listen to the debates which now surround us—and which will command our attention as long as our society survives—we can recognize the voices of the past. Adam Smith still speaks to us from the platform to the Right; Karl Marx seeks to enroll us in the legions of the Left. We can distinguish the voice of John Stuart Mill in the words of the Socialists, and that of John Maynard Keynes in the arguments of the liberal capitalist reformers. The analytic insight of Ricardo, the gloomy presentiments of Malthus, the vision of the more utopian Utopians, the complacency of the Victorians, the disquietude of the underworld, the shrewd skepticism of Veblen—they are all there.

Much of the teaching of the great economists no longer quite applies. And yet, it has not gone entirely out of date. For the great economists gave men an understanding of the world which has become part of our everyday philosophy. What they taught us was that the world was not just an unrelated confusion but a concatenated process, not just happening but developing. They gave us an understanding of our environment so that we might profit by it more fully; they gave us an understanding of our past so that we might better comprehend the process which is sweeping us into the future.

We shall need their insight as we progress into the future. As the control of our destiny devolves increasingly

upon ourselves, we shall have to make choices—desperately important ones—among the counsels of the present. It is from the scope and wisdom of the economists of the past that we must reap the knowledge with which to face the future.